

Global Superstore: The Revival Strategy

From forensic diagnosis to a 6-12 month turnaround plan

Syndicate 6

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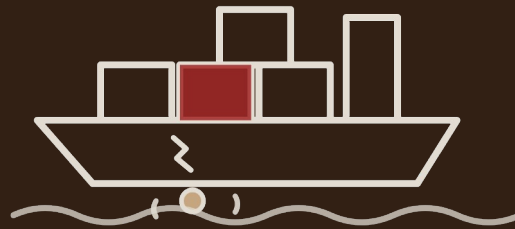
Analytics Taskforce for the Chief Strategy Officer · FY2011-FY2014 transaction ledger, 51,290 order lines



Sales are growing; profit is leaking through discounting and freight

One key message for the Board

Global Superstore does not have a growth problem. It has a margin-leakage problem: about a quarter of all order lines sell at a loss, and the loss is concentrated in deep discounts and loss-making overseas territories. Tightening price control and fixing those territories recovers roughly \$1.23M of operating profit without adding a single new sale.



The evidence in four numbers

\$2.26M → \$4.30M

Revenue over four years (+90.3%, 23.9% a year)

11.6%

Operating margin, four-year average (annual range: 11.0% to 11.9%)

-\$920,646

Profit destroyed by 12,544 loss-making lines (24.5%)

+\$1.23M

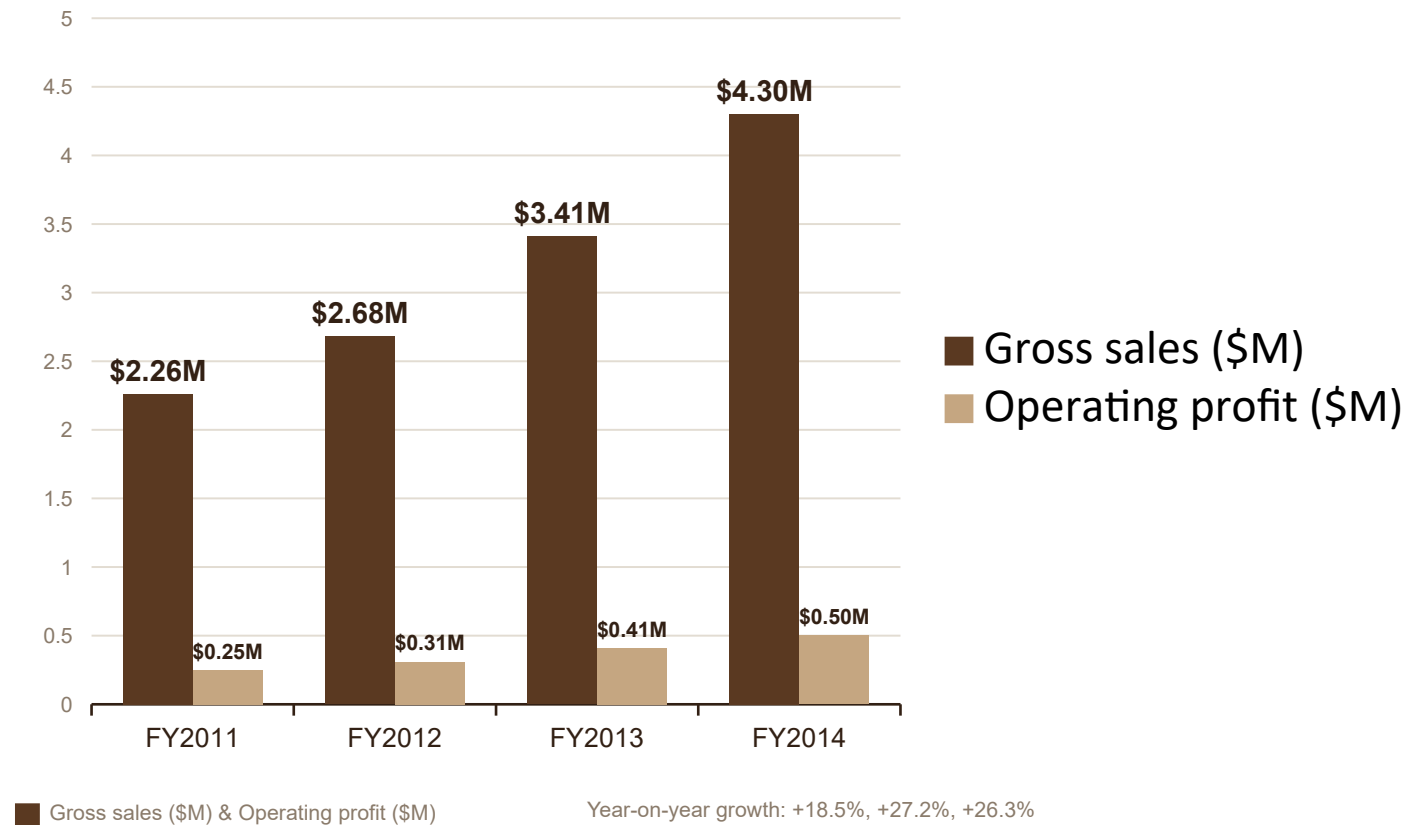
Operating profit recoverable on the current ledger (+84%)

Source: Global Superstore transaction ledger, FY2011-FY2014 (51,290 order lines). Operating profit is reported profit after cost of goods and freight. Recovery is the base-case simulation output (analytics model, this deck), about \$0.31M a year on the same run-rate.

Revenue grew 90% to \$4.3M and operating profit more than doubled

Gross sales and operating profit

\$ million (bars), FY2011-FY2014



Source: Global Superstore transaction ledger, FY2011-FY2014. Operating profit is reported profit after cost of goods and freight.

Growth is genuine and volume-driven

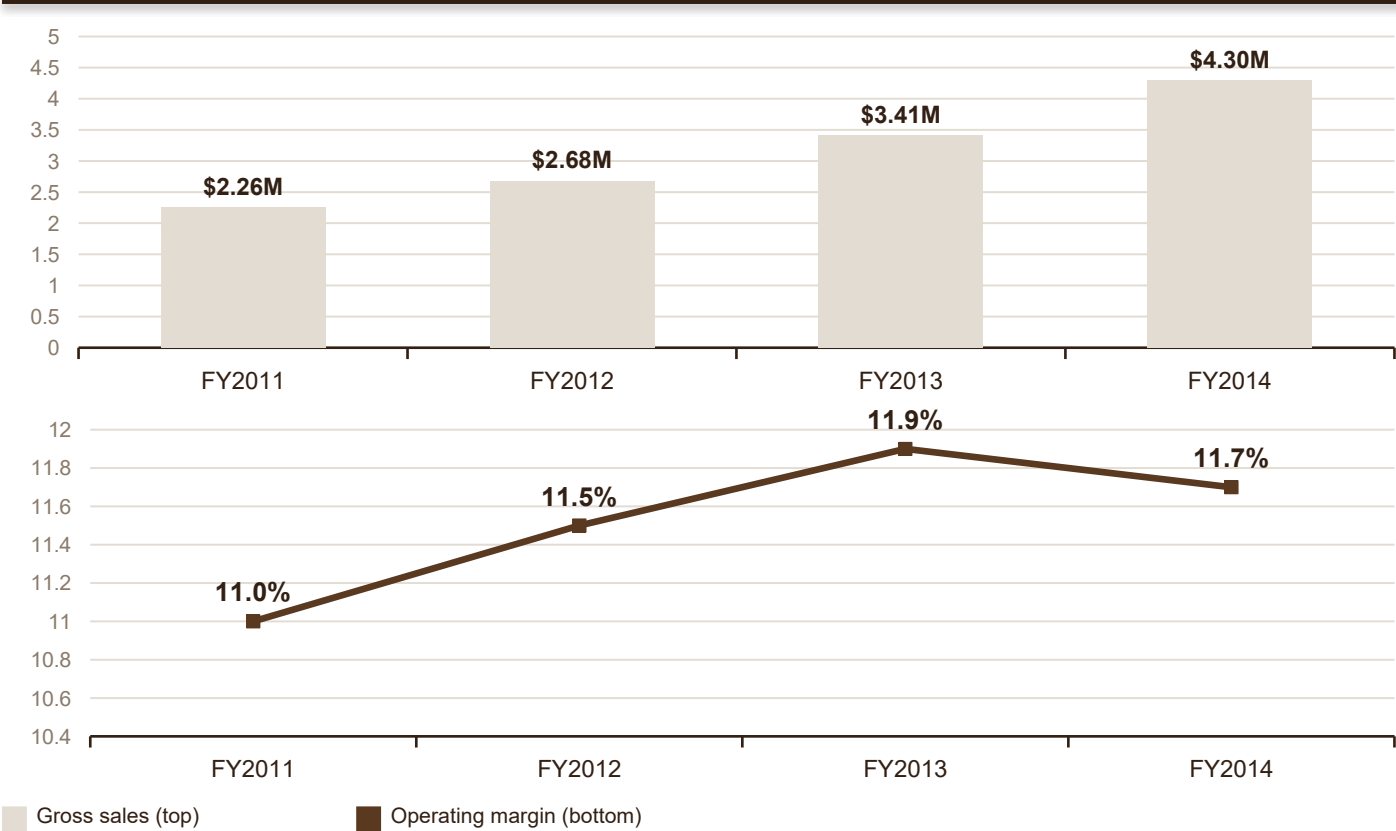
- Revenue rose every year, from \$2.26M in FY2011 to \$4.30M in FY2014 (+90.3%).
- Operating profit rose every year too, from \$249K to \$504K (+102.5%).
- Order volume grew from 4,440 to 8,531 orders; average order value stayed flat at about \$505.
- Growth came from more customers and orders, not from raising prices.

Order Volume: 4,440 → 8,531 (+92.1%) | Avg Order Value: ~\$505 (flat, -0.9%)

Operating margin stayed near 11% while sales climbed 90%

Gross sales and operating margin

\$ million (top) · margin % (bottom)



Volume was rewarded, margin was not

- Revenue compounded at 23.9% a year, but operating margin moved only from 11.0% to 11.7%.
- Profit grew almost exactly in line with revenue, so every extra dollar of sales carried the same thin margin.
- The company measures and pays for gross volume, so sales teams had no reason to defend price.
- Margin, not revenue, is the number the Board should track from here.

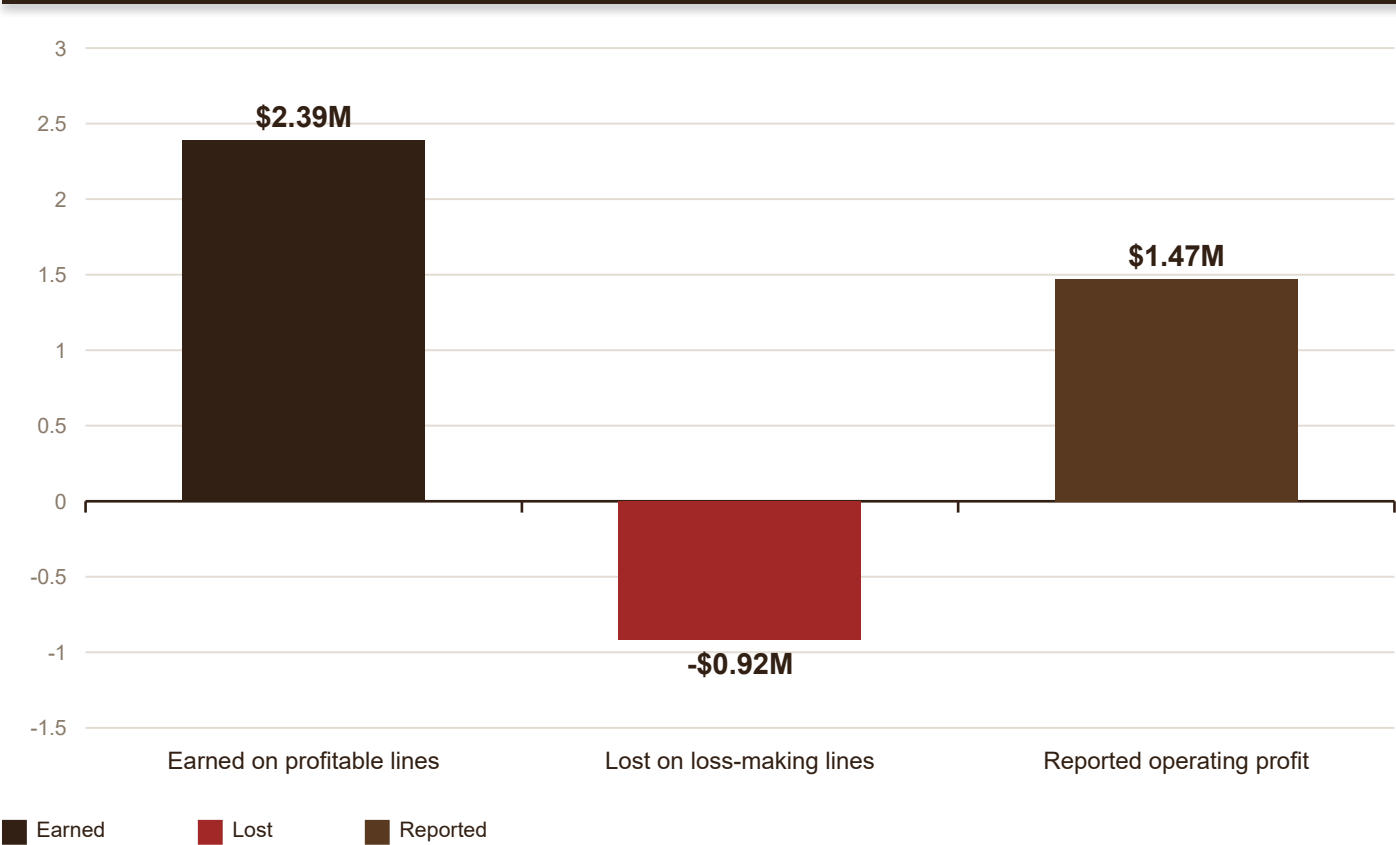


Source: Global Superstore transaction ledger, FY2011-FY2014. Operating margin = profit / gross sales.

One in four order lines loses money and drains \$921K of earned profit

From earned profit to reported profit

\$ million, FY2011-FY2014 cumulative



What the bridge shows

- Profitable lines earn \$2.39M before the losses; that core is strong on its own.
- 12,544 lines (24.5% of all lines) were priced at a loss and removed \$0.92M of that profit.
- Reported operating profit of \$1.47M understates how profitable the healthy core really is.
- The loss is a pricing and cost-to-serve outcome, not a weak market.

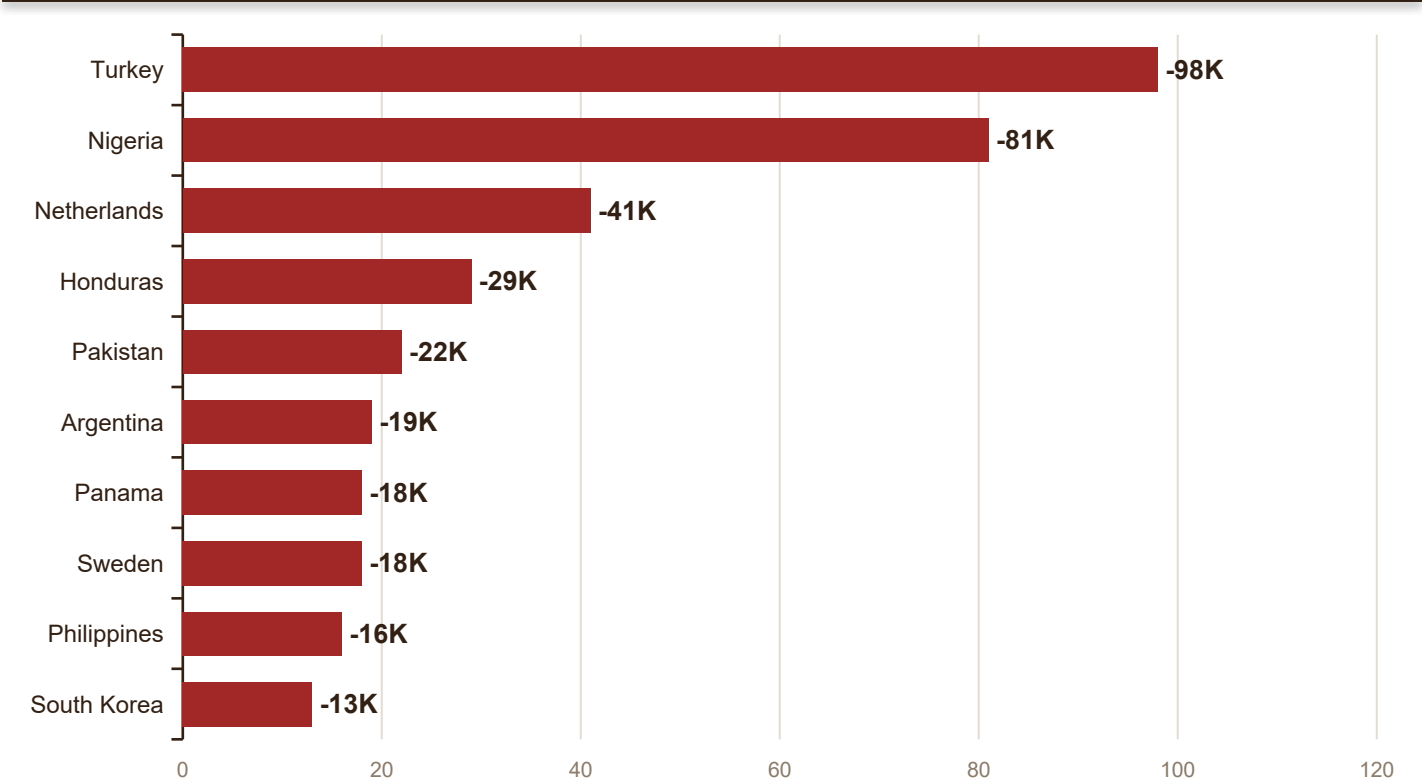


Source: Global Superstore transaction ledger, FY2011-FY2014. A line is loss-making where reported profit, net of cost of goods and freight, is negative.

Losses concentrate in four countries, led by Turkey and Nigeria

Operating profit by country

\$ thousand, FY2011-FY2014 cumulative



A company-policy loss, not a market loss

- Turkey (-\$98K) and Nigeria (-\$81K) alone account for \$179K of the deficit.
- 29 of 147 countries are net-negative; the top four carry 56% of that deficit.
- Both were sold at extreme average discounts: 60% in Turkey and 70% in Nigeria.
- The EMEA market (Europe, Middle East and Africa) runs a 5.4% margin, well below 12-13% in the other markets.
- No discount or freight cost was charged back to these territories, so their losses were absorbed centrally.

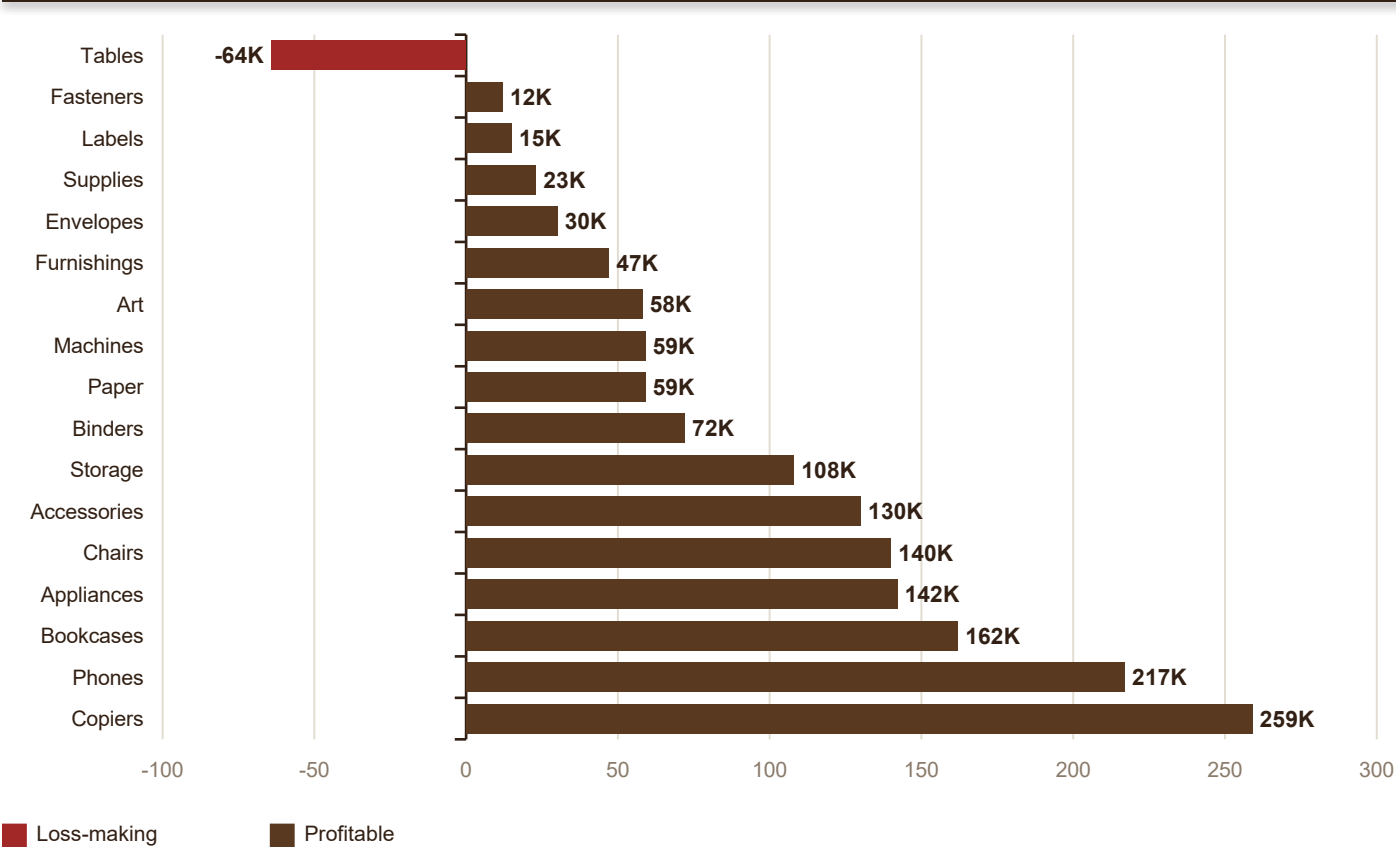


Source: Global Superstore transaction ledger, FY2011-FY2014. Discount is the order-line average; country profit is net of all lines in that country.

Tables is the only one of 17 sub-categories that loses money

Operating profit by sub-category

\$ thousand, FY2011-FY2014 cumulative



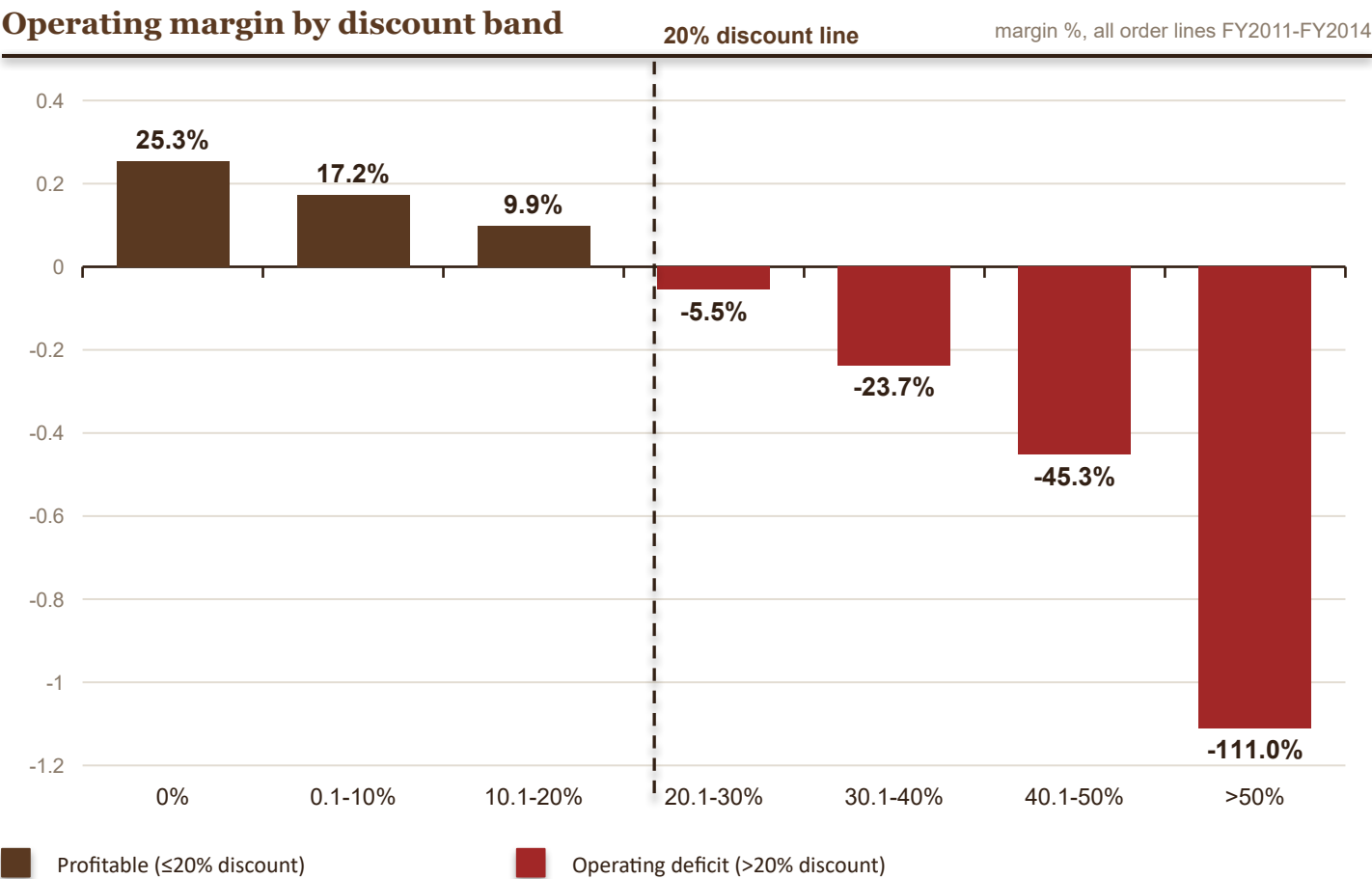
A pricing and freight problem, not demand

- Tables lost \$64.1K on \$757K of sales, a -8.5% margin, and is the only deficit sub-category.
- It carried a 29.1% average discount plus the highest freight per unit of any line.
- The rest of the portfolio is profitable: Copiers +\$259K, Phones +\$217K, Bookcases +\$162K.
- Furniture overall runs a 6.9% margin against 14.0% for Technology.



Source: Global Superstore transaction ledger, FY2011-FY2014. All 17 sub-categories, ranked by operating profit.

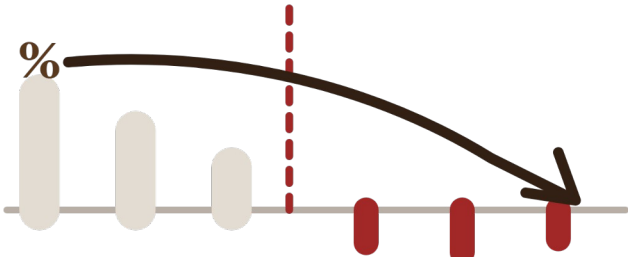
Order economics invert once the discount passes 20%



Source: Global Superstore transaction ledger, FY2011-FY2014. Bands follow the discount distribution in the ledger. Discount-profit rank correlation: -0.60 (Pearson: -0.32).

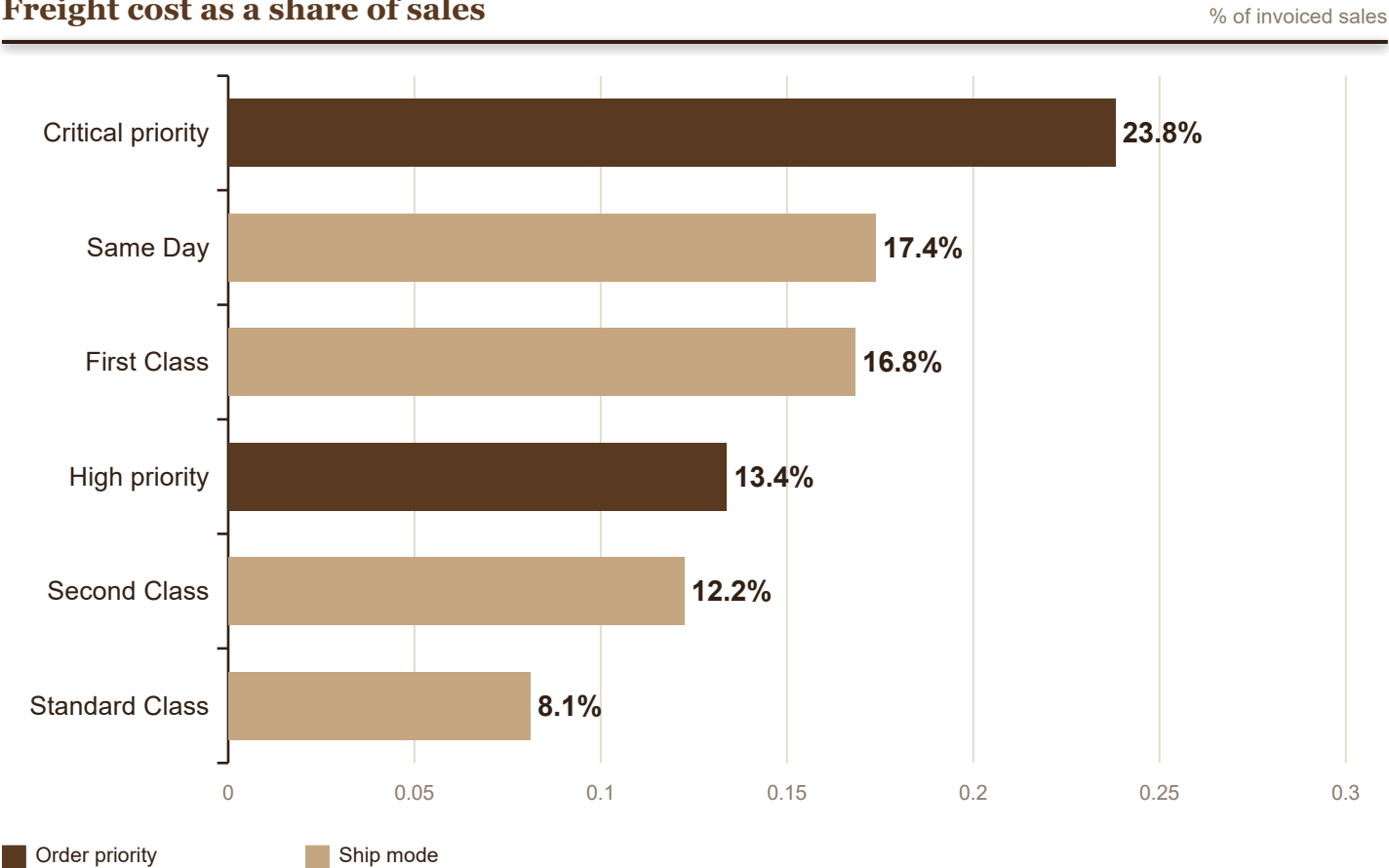
The 20% break-even

- Below 20% every line is profitable: margin runs from +25.3% at no discount to +9.9% at 10-20%.
- Above 20% every band is loss-making, sliding from -5.5% to -111%.
- 11,328 lines (22.1%) were priced above the 20% line and lost \$814,682 in total.
- Gross margin cannot cover concessions deeper than 20%, so the cap follows from the data.
- Past 50% off, 100% of orders lose money.



Expedited orders lose up to 24% of sales value to freight

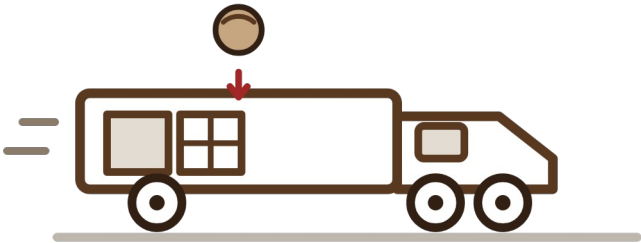
Freight cost as a share of sales



Source: Global Superstore transaction ledger, FY2011-FY2014. Freight ratio = shipping cost / gross sales.

Cost to serve is never charged back

- Critical-priority orders spend 23.8% of their sales value on freight; Same Day spends 17.4%.
- Standard Class spends only 8.1%, a third of the Critical rate.
- Company-wide freight is 10.7% of sales and is not passed through on bulky or expedited lines.
- Deep discounts and heavy freight co-occur on the same orders, so those orders struggle to recover.



Deep discounts, loss-making territories and bulky Tables drive the \$921K leak

Root cause	Evidence in the data	Where it concentrates	Profit recovered by the fix
Uncontrolled discounting	22.1% of lines were priced above a 20% discount Margin inverts at the 20% line, from +9.9% to -5.5%	Every market; worst in EMEA and LATAM	+\$1.03M
Loss-making overseas territories	Turkey -\$98K and Nigeria -\$81K at 60-70% average discounts EMEA margin 5.4% against 12-13% elsewhere	Turkey, Nigeria, Netherlands	+\$0.18M
Bulk freight on Tables	Tables -\$64K at a 29.1% average discount Expedited freight runs at 17-24% of sales	Tables within Furniture	+\$0.05M

Recovery exceeds the reported \$921K loss because capping discounts at 20% returns those lines to a positive margin (+9.9%), rather than just break-even.

Source: base-case simulation on the FY2011-FY2014 ledger, before the churn allowance. Figures are an analytics estimate, not a forecast.

The three-lever recovery plan outearns every alternative tested

Alternative considered	What it promises	Why it is eliminated	Verdict
Raise list prices, allow deeper discounts	Bigger concessions look affordable from a higher invoice price	The leak follows the discount, not the list price: margin runs +9.9% at 10-20% off but -5.5% at 20-30%, and 88.5% of loss dollars sit above the 20% line	Eliminated
Exit Turkey and Nigeria entirely	Instant stop to the -\$179K country deficit	Abandons \$163K of revenue and two developing markets; 3PL restructuring removes the same losses while keeping every sale	Eliminated
Renegotiate carrier rates company-wide	Cheaper freight on every order	Freight is \$1.35M over four years; a realistic ~10% cut returns ~\$0.14M after 12+ months of contracting, leaving the \$814,682 discount leak untouched	Support lever only

Capping discounts at 20% dominates: it is the only alternative that returns more than it risks, needs no capital, and takes effect inside two months.

Source: alternatives assessed on the FY2011-FY2014 ledger. Freight totals \$1.35M (10.7% of sales); deep-discount losses \$814,682 across 11,328 lines; Turkey and Nigeria revenue \$163K. Modelling estimates, not forecasts.

\$1.23M of operating profit is recoverable on the full-ledger basis

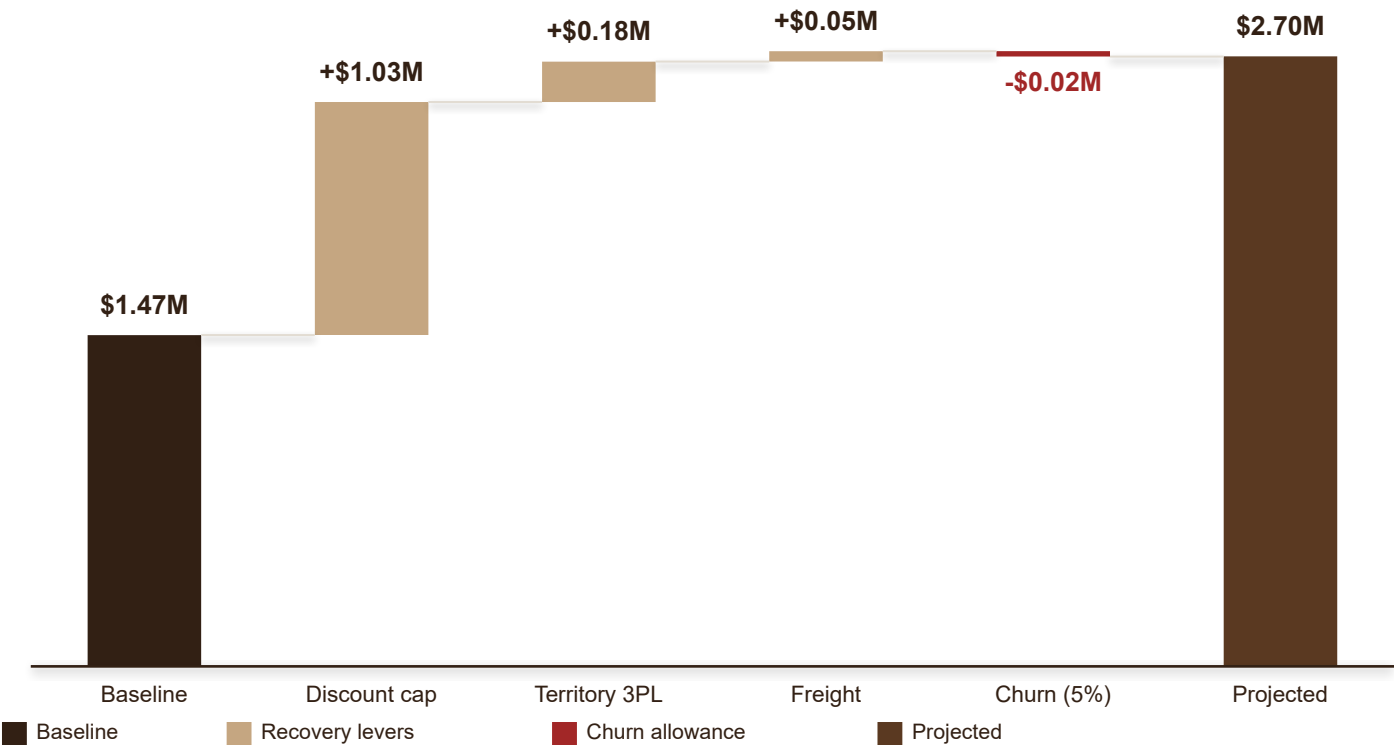
Initiative	Owner	Timing	KPI to track	Expected impact
1. Pricing governance: cap discounts at 20%	Chief Commercial Officer	Months 1-2	Orders above 15% discount: below 2% Average discount: below 12%	+\$1.03M
2. Restructure loss-making territories to third-party logistics (3PL)	VP Global Supply Chain	Months 3-4	Country operating margin: break-even within 90 days Freight: below 12% of sales	+\$0.18M
3. Tables freight pass-through and repricing	Head of Merchandising	Months 5-7	Tables operating margin: above +10% Dimensional freight recovery: 100%	+\$0.05M

Source: base-case simulation on the FY2011-FY2014 ledger; levers are gross and the \$1.23M headline is net of a churn allowance, about \$0.31M a year on the same run-rate. Modelling estimate, not a forecast.

The base case lifts operating profit 84% and margin to 19.9%

Operating profit bridge, baseline to projected

\$ million, FY2011-FY2014 ledger basis



The recovery path

- Baseline operating profit on the four-year ledger is \$1.467M at an 11.6% blended margin.
- The 20% discount cap contributes +\$1.03M, the largest single lever.
- Territory restructuring adds +\$0.18M and Tables freight + \$0.05M.
- After the churn allowance the company lands at \$2.70M and a 19.9% blended margin, about \$0.31M a year higher.

Source: analytics simulation on the FY2011-FY2014 ledger (base case: 20% cap, \$15 per table unit surcharge, full 3PL transition, 5% churn allowance). Modelling estimate, not a forecast.

The recommendation holds under conservative and aggressive assumptions

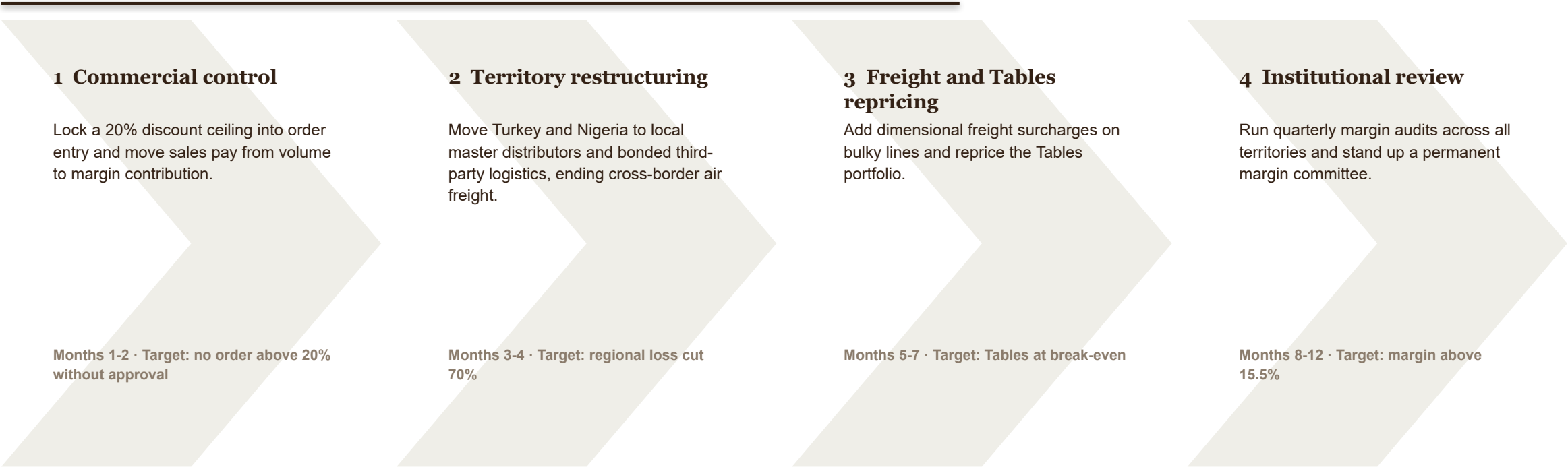
Scenario	Discount cap	Tables surcharge	Churn allowance	Projected profit	Margin	Uplift
Baseline (status quo)	No cap	\$0	0.0%	\$1.467M	11.6%	n/a
Conservative	25%	\$0	7.0%	\$2.373M	17.8%	+\$0.91M
Base case (recommended)	20%	\$15	5.0%	\$2.701M	19.9%	+\$1.23M
Aggressive	15%	\$25	3.0%	\$2.997M	21.7%	+\$1.53M

Source: analytics simulation on the FY2011-FY2014 ledger. Highlighted row is the recommended plan; all figures are on the four-year ledger basis and are modelling estimates, not forecasts.

Execution runs from immediate price controls to a permanent margin committee

Four-phase implementation

months 1-12



Source: turnaround plan derived from the FY2011-FY2014 diagnosis. Phase 1 begins on Board approval.

What Happens Next: \$5.3M Forecast, a Near-Neutral Cap, Named Churn Risks

What happens next	The number	How we know it is real	What it means
FY2015 revenue forecast	\$5.28M (+22.8% vs FY2014)	Tested on FY2014, a year the model never saw: mean error 10%, bias -1%	The fix needs no heroic growth
Volume effect of the 20% cap	101% of volume kept	Measured from the ledger's own discount response, with product, market, and season controls	No churn guess needed
Customer churn risk	Top tenth of customers lapse 2.9x the average rate	Scored on pre-2014 behaviour only (AUC 0.80 on a customer holdout)	Target retention effort first

FY2015 assumes current trends continue. The volume response is measured from the ledger's own discount history; the churn score uses only pre-2014 behaviour, so it is a genuine prediction.

Source: predictive models on the FY2011-FY2014 ledger. Forecast: tested on FY2014 (mean error 10%). Demand response: controlled regression across all 51,290 lines. Churn: logistic model, AUC 0.80 on a customer holdout. Modelling estimates, not forecasts.

The Board must approve the 20% discount cap and 3PL restructuring this quarter

Three decisions requested

- **Approve the 20% discount cap** in order entry, with VP sign-off for discounts between 15% and 20% and a hard block above 20%.
- **Authorise the 3PL transition** for Turkey and Nigeria to remove the cross-border loss.
- **Charter a margin committee** chaired by the CFO to review discount leakage and Tables margin every quarter.



What the Board gets in return

+\$1.23M

Operating profit, full-ledger basis (+84% on \$1.467M)

19.9%

Operating margin, from 11.6% and above the 15.5% target

\$0

New capital spend required; Phase 1 is an order-entry rule

Decision today, first savings inside 90 days

Phase 1 needs no new capital and no new systems beyond an order-entry rule.

Source: base-case simulation on the FY2011-FY2014 ledger. Returns are on the four-year ledger basis and depend on the 5% churn assumption holding. Modelling estimate, not a forecast.

“Beware of little expenses; a small leak will sink a great ship.”



Benjamin Franklin

Prepared for the Board of Directors

Source data: Global Superstore transaction ledger, FY2011-FY2014 (51,290 order lines). Deck produced with consulting-pptx-skill (github.com/carnot-tech/consulting-pptx-skill).